

EQUITY RESEARCH · COMPANY DEEP DIVE

AbbVie Inc. (ABBV.US)

Healthcare · Drug Manufacturers - General

Large Cap (>\$200B) · Report Date: August 31, 2026

Latest financials: Q4 FY2025 · Model data as of 2026-08-31

BUY

Composite · Valuation: OVERWEIGHT

Target \$329.43 · +27.8% upside

Price \$257.67

INVESTMENT HIGHLIGHTS

- **OVERWEIGHT** — blended target \$329.43 (+27.8% vs \$257.67); DCF 32% + Comps 53% + Analyst 15% valuation after outlier checks.
- Strong revenue growth; high operating margins; positive fcf generation
- Moderate revenue expansion (10.2% YoY)

MULTI-PILLAR INVESTMENT SIGNAL

Pillar	Rating / Signal	Key Metric	Wt
Valuation	OVERWEIGHT	Blended PT \$329.43	45%
FSA	Stable	Health -0.20 · Stable	20%
Technical	BULLISH	Bullish	20%
Quantitative	POSITIVE	Score +0.65 · 12m +26%	15%
Composite	BUY	Score +0.57 · 75% confluence	—

Valuation + technical aligned bullish.

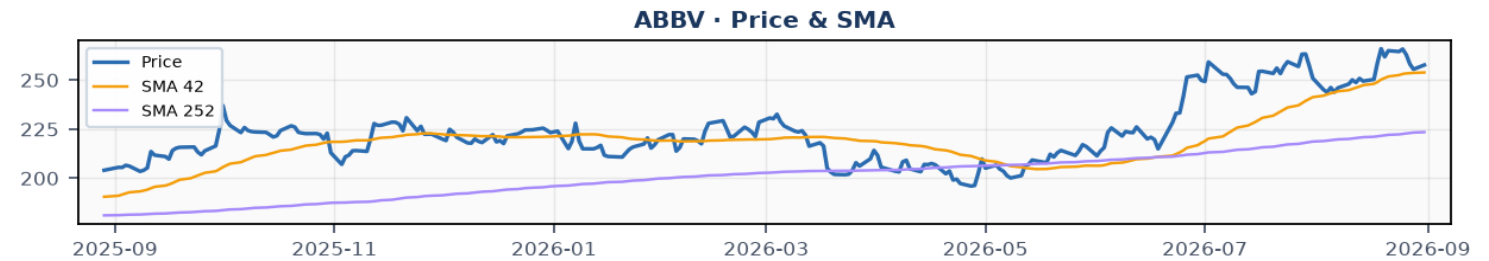
INVESTMENT THESIS / EXECUTIVE SUMMARY

AbbVie Inc. (ABBV) — Healthcare. AbbVie Inc., a research-based biopharmaceutical company, engages in the research and development, manufacturing, commercializing, and sale of medicines and... **OVERWEIGHT** rating; blended target \$329.43. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$455.33B	Shares Out.	1767.1M
52-Week Range	\$190.75 – \$267.47	P/E (TTM)	72.6x
P/B	-76.7x	Beta	0.28
Avg Volume	6.53M	Analyst Rec.	Buy
Revenue (TTM)	\$64.39B	Rev Growth	+10.2%
Op. Margin	40.0%	FCF (TTM)	\$17.82B
Gross Margin	72.8%	ROE	N/A
EV/EBITDA	16.8x	Debt/Equity	N/A
EPS (TTM)	\$3.55	Div Yield	2.7%

PRICE TREND · SMA 42 / 252



FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	56,334	61,160	67,398	72,716	77,278
Revenue Growth (%)	N/A	8.6%	10.2%	7.9%	6.3%
Net Income (\$M)	4,278	4,226	4,657	5,024	5,340
Gross Margin (%)	70.0%	70.2%	72.8%	72.8%	72.8%
Net Margin (%)	7.6%	6.9%	6.9%	6.9%	6.9%
EPS (\$)	2.42	2.39	2.64	2.84	3.02
P/E (x)	106.44	107.75	97.77	90.62	85.27

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	\$253.86	Short-term trend	12m Momentum	+26.3%	
SMA (252d)	\$223.49	Long-term trend	3m Momentum	+20.5%	
RSI (14d)	58.9	Momentum oscillator	Ann. Volatility	23.6%	
Trend	Bullish		Sharpe Ratio	0.71	Rf=4%
Golden Cross (20d)	No		Max Drawdown	-21.9%	
Death Cross (20d)	No		Rel. Strength vs SPY	+74.6%	
TA Signal	BULLISH	Price above SMA42; SMA42 > SMA252; SMA42=\$253.86, SMA252=\$223.49	Quant Score	+0.65	POSITIVE
			SMA Backtest (ann.)	12.6%	B&H; 21.8%

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in	Notes
DCF (FCFE)	\$240.28	-6.7%	32%	Included in blend
Comps — Blended	\$398.21	+54.5%	53%	Included in blend
Analyst consensus	\$276.59	+7.3%	15%	Included in blend
Blended target	\$329.43	+27.8%	100%	DCF 32% + Comps 53% + Analyst 15%

DCF (FCFE) SUMMARY

Ke	Terminal g	FCFE growth	Equity value	Implied price	vs. Current
7.50%	2.50%	5.10%	\$424.61B	\$240.28	-6.7%

PEER COMPARISON · INDUSTRY CONTEXT

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
MRK	Merck & Company, Inc.	\$366.60B	118.9x	14.3x	4.8%	+5.1%
PFE	Pfizer, Inc.	\$163.10B	37.7x	8.3x	6.8%	+2.6%
JNJ	Johnson & Johnson	\$641.91B	30.9x	19.3x	21.5%	+6.6%
BMJ	Bristol-Myers Squibb C	\$136.89B	14.8x	9.0x	18.9%	+5.7%
ABBV*	AbbVie Inc.	\$455.33B	72.6x	16.8x	9.8%	+10.2%

* Subject company. Commands premium p/e vs peers; below-peer profitability. Trends: Moderate revenue expansion (10.2% YoY); High operating leverage (40.0% margin); Defensive profile (β=0.28) · Risks: Premium valuation (P/E: 72.6x) Strong revenue growth; high operating margins; positive fcf generation. Source: Yahoo Finance. Not investment advice.